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Unilever's Mission for Vitality

It was Friday evening in Greenwich, Connecticut, and Alan Jope's car sat idling in a sea of traffic inching northbound on I-95. Jope welcomed the traffic tonight, however, as he needed time to reflect on the week's events without disruption. It had been more than five years since he had been appointed chief operating officer of Unilever Home and Personal Care, U.S. Given the size of the company (\$43.8 billion in 2000, at the time of his promotion) and Jope's young age at the time (thirty-seven), the event was deemed sensational by the media, and Jope was dubbed "Unilever's young gun" and "a breath of fresh air."¹ A naturally enthusiastic "people person," Jope had a talent for motivating people and influencing others, a skill sorely needed in the famously confusing cross-functional structure of Unilever, often referred to as the "Matrix." Because of his oratorical skills and effervescent presence, Jope was frequently asked to represent the company at important functions and media events; he even appeared as a guest executive interviewer on Donald Trump's popular show *The Apprentice*.²

Jope knew that Unilever's recent performance had been lackluster, highlighted by the company's failed attempt to meet its sales growth target of 5 to 6 percent. This target had been promised to shareholders in its highly publicized five-year corporate strategy, "Path to Growth." Deep concerns in the business community were mounting, and representatives of investor groups, such as the Dutch Investors' Association (VEB), delivered statements of dissatisfaction at the 2005 Unilever shareholders' meeting:

First of all, we are obliged to note that Unilever has not posted a success with its 1999 Path to Growth strategy. This strategy was based on focusing on four hundred key brands, with the objective of stimulating autonomous sales increases. Concrete targets were formulated in terms of sales growth for leading brands (to between 5 and 6 percent), annual earnings per share (double digit, i.e., more than 10 percent) and operating margins (16 percent).

The numbers posted for 2004 show that the Path to Growth strategy has failed. Reducing the number of brands has not led to increasing the rate of autonomous growth. In the third quarter of 2004 autonomous growth came to a halt, whilst over the whole of 2004 it amounted to 0.9 percent, an extremely disappointing score.³

¹ Christine Bittar, "Alan Jope—Brief Article," *Brandweek*, November 13, 2000, http://findarticles.com/p/articles/mi_m0BDW/is_44_41/ai_67315452 (accessed April 22, 2007).

² "The Apprentice," http://www.nbc.com/nbc/The_Apprentice_2/episode_recap/fourteen.shtml (accessed August 17, 2007).

³ Peter Paul de Vries, "Unilever Shareholders' Meeting 2005," April 21, 2005, <http://www.veb.net/beleggen/artikel.php?newsnr=2652&SID=4304226133f86f42c84e8ca74d51753a> (accessed April 22, 2007).

—Peter Paul de Vries, Director, VEB

In the months that followed the shareholder meeting, Jope had heard many theories as to why Unilever's Path to Growth had failed, ranging from management hubris to the slow pace of innovation. What worried Jope the most, however, was the spotlight on "focused synergy" trumpeted by industry experts. The thought was that Unilever would see improved market performance with an umbrella "mission" for its brands that appealed to retailers and consumers alike. Essentially, if Unilever could find a way to link its businesses into a holistic "reason to believe," the company would have a recognizable platform. In this way, Unilever could transform itself from a "company of brands" to a "company with brands," increasing consumer awareness and encouraging more cross-purchases among the firm's brands.

The Problem

As traffic continued to inch forward, Jope reflected on recent events. Media speculation on the future of Unilever had forced the CEO, Patrick Cescau, to schedule press meetings in key cities around the world for the next Monday. The U.S. meeting would be held in New York City, and Jope—the great entertainer—had just been notified that he was the go-to man for the job. With just a weekend to prepare, Jope had some serious thinking to do. His task was to deliver a quick speech about Unilever's performance and then respond to the media's questions. He hypothesized that questions about the Path for Growth initiatives would represent the bulk of the press's inquiries. While he felt confident about the majority of the answers he would give, he was uncomfortable with how to respond to the "focused synergy" solution.

Anticipating the media's reaction to the Path for Growth program, Unilever's board of directors had agreed upon the idea of "Adding Vitality to Life" as an umbrella mission statement for the company in 2004. While the mission statement sounded eloquent (**Exhibit 1**), Jope wondered what exactly "vitality" meant in the context of the business. Jope reflected on two of his star brands: Dove, a mild soap with a thought-provoking campaign, and Axe, a popular and "cool" deodorant for younger men (**Exhibit 2**). Could both of these brands operate in harmony under the Vitality mission? This was a topic that had become more prominent in the media over the past few years. Recently, even radio talk show hosts had joined the discussion about whether Unilever was hypocritical in supporting both products. Could Jope defend this new corporate positioning to a frenzied media crowd on Monday?

Dove's Campaign for Real Beauty

In 1957 Unilever launched Dove, a beauty bar that did not dry out skin.⁴ Its tagline, "1/4 moisturizing cream," was the basis for multiple moisturizing products sold through traditional mass merchandisers and drugstores. Now, Dove played in products across the entire personal-care spectrum, from beauty bars (soap) to hair care, appealing to a broad range of customers (**Exhibit 3**).

⁴ Unilever, "Our Brands: Dove," <http://www.unileverusa.com/ourbrands/personalcare/dove.asp> (accessed April 2007).

In 2005 Dove sold more than \$3 billion annually worldwide across all of its products, with more than half of that coming from sales within the United States.⁵ Growth of Dove brand products continued to be explosive, primarily because of its highly successful “Campaign for Real Beauty,” launched in September 2004.

The Campaign for Real Beauty began by inviting audiences to challenge society's view of beauty, celebrating the individual beauty of each woman through an ad campaign that featured “normal-looking” women with curves, wrinkles, freckles, and other imperfections. Viewers were invited to cast votes on each woman's appearance at www.campaignforrealbeauty.com, where more than one million votes were counted. Although this initial launch was brand-building and not attached to any particular product, Dove began the second phase of the campaign in June 2005.⁶

The second phase was tied to the launch of Dove's firming-products campaign, which included lotions and body washes designed to reduce the appearance of cellulite. The ads featured six average women, none of whom were models, with “real” bodies and curves. The women were shown, unaltered, in their underwear and seemingly confident of their bodies, urging women to be proud of their appearance. Again, the tagline of the campaign asked women to reconsider their ideals of beauty: “Let's face it, firming the thighs of a size two supermodel is no challenge. New Dove Firming. As tested on real curves.”

Following this, Dove began the Dove Self-Esteem Fund in 2006 to help every female feel positive about her appearance. The fund was introduced during the 2006 Super Bowl with a commercial that featured young girls and their image insecurities.⁷ This atypical commercial, which was the first female-targeted ad in Super Bowl history, was astoundingly popular, scoring just below the top ten ads of the game. Within minutes of the commercial's airing, seven thousand people logged onto Dove's Campaign for Real Beauty Web site.⁸

Dove's real beauty campaign had been the basis of multiple collections, including Cool Moisture (for hydrated and refreshed skin), Energy Glow (a subtle self-tanning line), and pro*age (for mature women). Each of Dove's ads continued to urge women to question the traditional standards of beauty and to be confident in their own looks (**Exhibit 4**). The most recent ad campaign, “Evolution,” showed how makeup, lighting, and digital alteration could turn an average-looking woman into a supermodel. It ended with “No wonder our perception of beauty is distorted. Every girl deserves to feel beautiful just the way she is. Get involved at campaignforrealbeauty.com.”⁹

Dove's campaign had been incredibly successful at generating both brand awareness and sales. The key question was how long it could be successful. Currently, women equated purchasing Dove with supporting “real curves” in advertising;¹⁰ however, Dove was still selling beauty products. Beauty products, by definition, are sold because they touch on women's insecurities. Dove

⁵ “Dove: Multi-Category Beauty Master Brand,” <http://www.retailwire.com/Objects/Object.cfm/238> (accessed April 2007).

⁶ “The Campaign for Real Beauty Mission,” <http://www.campaignforrealbeauty.com/press.asp?id=4562§ion=news&target=press> (accessed April 2007).

⁷ Video available at http://www.metacafe.com/watch/71409/dove_self_esteem_fund_2006_superbowl_commercial (accessed August 17, 2007).

⁸ Bruce Horovitz, “Magic Fringe of Bud Light Ices an Advertising Win,” February 6, 2006, http://www.usatoday.com/money/advertising/admeter/2006-02-05-super-bowl-winner_x.htm (accessed April 2007).

⁹ Video available at <http://www.campaignforrealbeauty.com/flat4.asp?id=6909> (accessed August 17, 2007).

¹⁰ Seth Stevenson, “When Tush Comes to Dove,” August 1, 2005, <http://slate.msn.com/id/2123659#> (accessed April 2007).

purportedly wanted to eliminate those insecurities through its campaign, but this campaign was also designed to sell firming and anti-aging products.

In addition, the campaign raised several tricky questions for the brand. For example, there were questions within the company about how best to portray Dove's real beauty without offending the rest of America; after all, beauty is subjective. Even selecting Dove models was a difficult decision, as they had to be attractive but not "too attractive" as to be obvious models. And at the same time, Dove existed in a company that not only supported beauty products but also supported Axe, a highly sexualized brand that glorified the male pursuit of traditional glamorous beauty.

The Axe Effect

Sold in sixty countries with close to \$600 million in sales, Axe was the largest male toiletries brand in the world. Axe was first launched in South Africa in 1974 under the brand name "Ego" as a deodorant for younger men. Subsequently, Axe became the fastest-growing retail brand ever in the United States—reaching \$100 million in sales in less than three years after market introduction.¹¹ In 2007 the brand offered deodorant spray, invisible solid antiperspirant, deodorant sticks, and shower gel through traditional retail outlets such as Wal-Mart, Target, CVS, and Safeway (**Exhibit 5**).

Much of the brand's success could be attributed to superior targeting and positioning as the "cool" male-grooming brand whose deodorants, sprays, and shower gels "give men the edge in the mating game." The brand honed in on a particular target market—fourteen- to twenty-five-year-old men—who want to be cool but had limited experience with women. For these young men, chasing girls—and getting chased by girls—was a way of defining themselves as individuals and men. Peer-group approval was particularly critical. The brand was built on the idea that young men are obsessed with women, that they have a lack of self-confidence when it comes to courtship, and that they are therefore searching for solutions to help them get the girl.

Over the prior twenty years the global Axe brand team had developed the brand's masculine equity that consumers had come to know as "the Axe effect" by leveraging suggestive messages, bawdy humor, and cool-guy machismo in every form of communication.

In the United States, there were approximately fifteen different product scents available with stimulating names such as Reload, Touch, Vice, Ready, and Willing. The Axe packaging was engineered to "pop" on the shelf as distinctly masculine in its sleek, black form (**Exhibit 6**). The commercials and advertisements, including the launch ad "Elevator," were recognized as some of the industry's best, winning dozens of marketing awards including ten Cannes Lions Awards, the Guerilla Marketer of the Year Award (2002, *Brandweek*), and Most Innovative Marketing Program Award (2002, *Business 2.0*) (**Exhibit 7**).¹²

However, not everyone was overjoyed with the brand. In particular, some critics claimed that the brand went too far in encouraging, and sometimes teaching, inappropriate behavior to males with sexually explicit ads and promotional tactics, including the following:

¹¹ Unilever, "Our Brands: Axe," <http://www.unileverna.com/ourbrands/personalcare/axe.asp> (accessed April 16, 2007).

¹² Ibid.

- *Listening 101* was an advertisement that featured a woman talking to a man while he was being distracted by a car, a football game, and then two lesbians making out.
- *AxeFeather.com*, a promotional interactive Web site that was part of Unilever's viral marketing campaign targeting sixteen- to twenty-year-old men, invited the viewer (with the phrase "play with me") to tickle a picture of a scantily clad woman with a feathered cursor.¹³
- *Mojo Master*, an online game for PCs, had the player try to seduce digital women using the "playbook" rules and Axe products. An online component was also added to the game to unlock certain features and allow players to compete against each other (**Exhibit 8**).¹⁴
- *Order of the Serpentine* was a body wash that, in early 2006, Axe began marketing via a fictitious cult that helped men cleanse their bodies and conscience from questionable casual sexual encounters, proclaiming that "the walk of shame ends here" (**Exhibit 9**).¹⁵
- *City Hunters*, the first globally branded entertainment show, was a male-targeted series that integrated the Axe brand into the storyline. The animated series followed the antics of an aging Casanova, Dr. Lynch, and a young man named Axel that he trained in the art of seducing women.¹⁶

Despite the push-back from concerned parties, it was clear that the young men of today's society liked "the Axe effect" as sales continued to grow at a rate above company average. The excellent market performance fueled the growth of the brand: all top Unilever talent wanted to work on the "fun" and successful Axe brand. The brand received a larger marketing and advertising budget each year as a percentage of sales, and the Axe brand development team reported a healthy innovation pipeline filled with new products for the upcoming five years. There was no doubt that Unilever should continue to focus on Axe and "the mating game" as a driver of growth in the years to come.

Unilever Culture

By all accounts, Dove and Axe were two of the most successful brands at Unilever, particularly for their well-defined and successful positioning. In fact, the brands were so well understood that they became reference points for other brands. Caress (or Lux, as it was called in the United Kingdom) frequently presented itself internally as the "anti-Dove" brand: totally cosmetic and super-feminine in nature. Degree (or Rexona, as it was called in the United Kingdom) used the phrase "the deodorant for Axe guys grown up" while presenting to retailers. In essence, "Dove-like" and "Axe-like" became positive adjectives commonly used to describe brand equity within Unilever.

¹³ Axe Feather site, <http://www.axefeather.com> (accessed April 16, 2007).

¹⁴ "AXE Presents the Launch of Mojo Master Multiplayer," October 31, 2005, <http://pc.gamezone.com/gamesell/p26898.htm> (accessed April 17, 2007).

¹⁵ Order of the Serpentine site, <http://orderoftheserpentine.com/subliminal.html> (accessed April 17, 2007).

¹⁶ Anna Marie De La Fuente, "Fox, Axe Pact on LATAM Toon Skien," October 18, 2006, <http://www.variety.com/article/VR1117952194.html?categoryid=1043&cs=1> (accessed April 17, 2007).

While the umbrella Vitality mission had been ratified a year earlier, it had not yet made an imprint on the way in which business operated or on the company's performance results. Each brand continued to operate as an independent business—and not irrationally, Jope mused, as each brand was responsible for its own profit and loss statement (P&L). He could even see the different brand essences manifested in the brand teams themselves.

While Dove had primarily male brand managers, they found inspiration in daughters, sisters, and wives. During meetings, Dove team members were focused on gaining consensus on each of their decisions and sometimes even voted on hot topics to remain “democratic.” Jope remembered the last global brand leadership team meeting he attended in London and how all of Dove's senior leadership, whether they realized it or not, were generally wearing more light-toned clothing and natural fabrics than would be found in a random sample of people. Lunch for the day was catered from an organic restaurant, and music by various female artists such as Diana Krall and Melissa Etheridge played in the background while the team ate and discussed the most recent ACNielsen numbers. Jope began to think about a lunch he had had the previous month with a brand director on Dove and how he had been taken aback by her comment on her work: “I cannot wait to come to work every day because I know that I am doing something good for society. The decisions I make today will affect women everywhere, hopefully in a positive way.” In Greenwich, one of the Dove brand managers had organized an ongoing yoga class that was held in the cafeteria every Monday after work. While the class did not appeal to Jope, it turned out a big crowd every week.

Axe, however, a relatively young brand in the Unilever portfolio, had quickly established itself as the “rebel” of the company. The entire brand team subscribed to the motto “ask for forgiveness, not permission,” which, Jope thought, may have actually been communicated during the brand's orientation sessions. During these sessions, new brand team members were put through a ceremony, a hybrid of a fraternity rush and the movie *The Matrix*, that ended with the new members selecting the “red pill” (as in *The Matrix*) and initiation into the “Axe Fraternity” called A.X.E. Sales meetings were somewhat raucous, risqué events involving alcohol, visits from the “Axe Angels” (provocatively clad twenty-something female models), and high-adrenaline activities such as mechanical bull riding or race car driving. Such was the scene at the previous year's annual sales meeting at the Hard Rock Hotel in Florida when one sales director commented, “Axe meetings are like salesmen gone wild! You have got meetings from 7 a.m. to 6 p.m., then dinner and parties until 3 a.m. Everyone leaves here exhausted, but with smiles on their faces.” Team members dressed in the latest fashions, and on any given day at least half the men on the team were wearing black shirts with designer jeans. Axe was largely an opt-in culture, and team members were typically high performers who requested to work on the brand.

Interestingly enough, the differences between the brands had not yet provoked any real tensions among the employees. It was true that there were mild “stigmas” placed on people according to what team they worked on, but employees were fairly transferable between the two brands since both had strong marketing budgets and were seen as brands for the talented. In one telling case, Jope had promoted a promising young associate brand manager working on Dove to a new brand manager spot on Axe. She flourished in her position for twelve months, and by all measures her first new item launch was beating expectations in the marketplace. In a celebratory announcement at the coffee bar, the brand manager let an expletive slip into her speech. The audience laughed and applauded the woman for her gusto—something that would have never happened the previous year when she was on the Dove team. In another internal transfer, a very successful consumer and market knowledge manager asked to be switched from Axe to Dove during his annual review. Although he never overtly articulated his reasoning behind the request, it was well known within the office that he had gotten engaged to his girlfriend a few months earlier.

Joep's Dilemma

Though these two cultures had managed to coexist at Unilever, the inherent tension between the two campaigns had begun to spill over into the consumer sphere. For example, during a recent visit to the consumer support center, Joep had listened to a woman who was dismayed at Dove's tacit support of a brand that objectified women. To her, Axe continued to perpetuate the traditional view of beauty; Axe held up one of the stereotypes Dove was trying to pull down, and she was dismayed to learn that both brands were produced by Unilever. She now felt that the Campaign for Real Beauty was hypocritical.

Joep worried that this feeling would become more common over time. With the rising popularity of organic and environmentally conscious stores such as Whole Foods, consumers were clearly shopping along their values. The question was, how much did their values truly matter? The Vitality mission had been launched so that Unilever would become more transparent to the consumer. However, this transparency could also be a liability. Trade magazines had been discussing this issue for years but had been more focused on the success of each brand's platform. Now that consumers were continuing the discussion, Joep was apprehensive about the impact it could have on sales. Should Unilever be a house of brands or a branded house, and which brand would be the dominant one? If Dove, with its stronger social message, became the brand that Unilever was known for, how should Axe fit into the portfolio?

In addition, the Axe brand managers had approached Joep a week earlier about separating the team from the rest of the company. They claimed that because Axe was a brand that needed to keep ahead of "cool," it should move to separate offices in the SoHo area of New York City to allow the team freedom of expression and the ability to be closer to "coolness." They argued that the staid suburb of Greenwich was better suited to the established, mom-centric Unilever brands such as Dove, but not Axe. Joep wondered if creating a separate office for the Axe brand team would help or hinder the Axe brand; he also wondered how such a move would affect the Unilever company as a whole. Would Axe thrive in its newfound freedom, or would it wither from lack of cross-brand stimulation? Would there still be a healthy rotation of employees between the two brands to keep the ideas fresh if Axe was located twenty-five miles away from the central office?

Traffic finally broke on I-95, and Joep stepped on the gas. He was puzzled over how to solve the dilemma of the Vitality mission as well as what to do with Axe's desire to move south into SoHo. Before taking on the COO role he had spent four years working in Asia. It was there he had learned that a key part of vitality was harmony.¹⁷ Did the fact that Unilever was moving from a company of brands, where the consumer knew the brands but not the company, to being a company with brands present unintended and unanticipated problems? Could Dove and Axe co-exist harmoniously? How could he unify the brands under this new umbrella mission statement? Joep knew that this reconciliation was only the beginning of the problem. Unilever owned hundreds of brands, and joining them all under one mission would be a long and arduous task. He wondered, was consistency between brand messages truly necessary?

¹⁷ Bittar, "Alan Joep—Brief Article."

Exhibit 1: Unilever's Vitality Mission Statement


► Home

▼ Why vitality

- Our corporate purpose
- The start of a journey**
- Brands and vitality
- Vitality and the future
- Vitality and us
- Vitality and the world
- Vitality Communications

► Guidelines and AW

► Choices Programme

The start of a journey

We know we have a lot to be proud of. People all over the world choose our brands 150 million times every day for the benefits they bring. We also have a strong reputation for acting as a responsible corporate citizen in the diverse communities and environments in which we operate.

We believe that the Unilever name is a valuable asset. However, in some countries, Unilever's name is not widely recognised, we have not been using it to our full advantage.

Now that's going to change. We are going to stand visibly, as Unilever, behind our products and everything we do, everywhere. We want to be recognised and trusted throughout the world.

So, as well as embracing our new mission, by 2005, all our local companies will use the Unilever name. And over the next 18 months, it will appear on the packs of all our brands.

We're all part of this. It's a journey we need to take together. We believe it will help make us stronger, fitter and better placed to face whatever the future brings.

Exhibit 2: Dove and Axe Brand Essences

Dove's Essence: Beauty without artifice. (Beauty without stereotypes, without over-promises. Beauty from lasting, thoughtful care.)

Axe's Essence: To improve men's performance in the mating game. (Axe gives guys the edge in the mating game.)

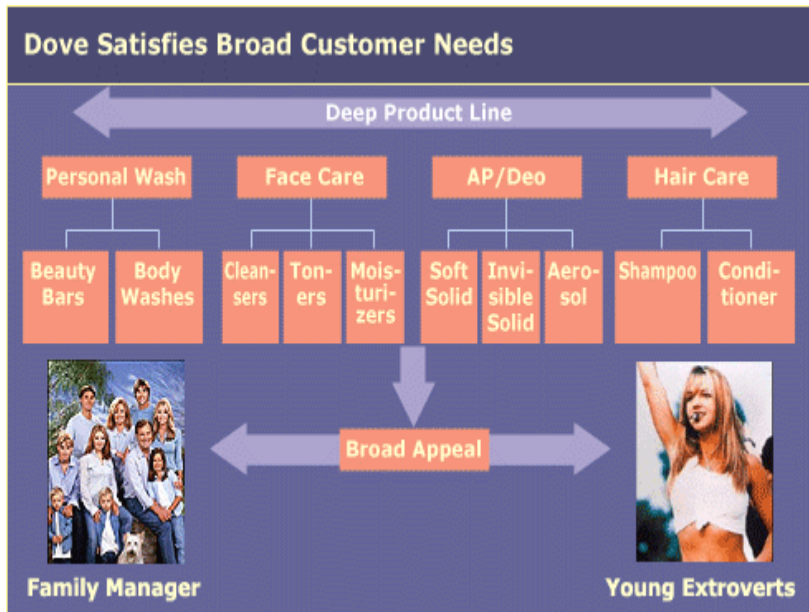
Exhibit 3: Dove's Brand Range

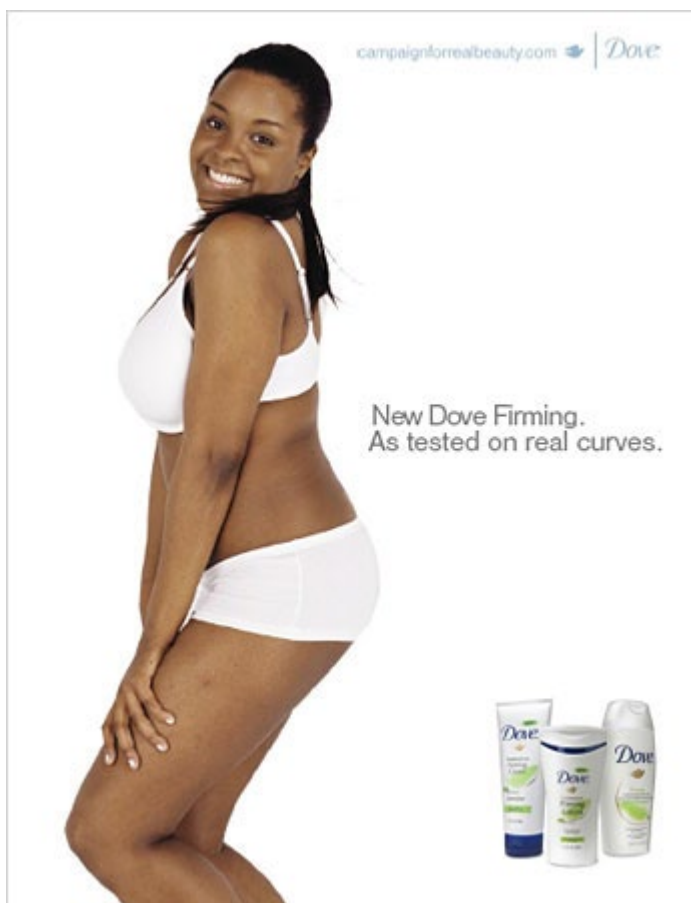
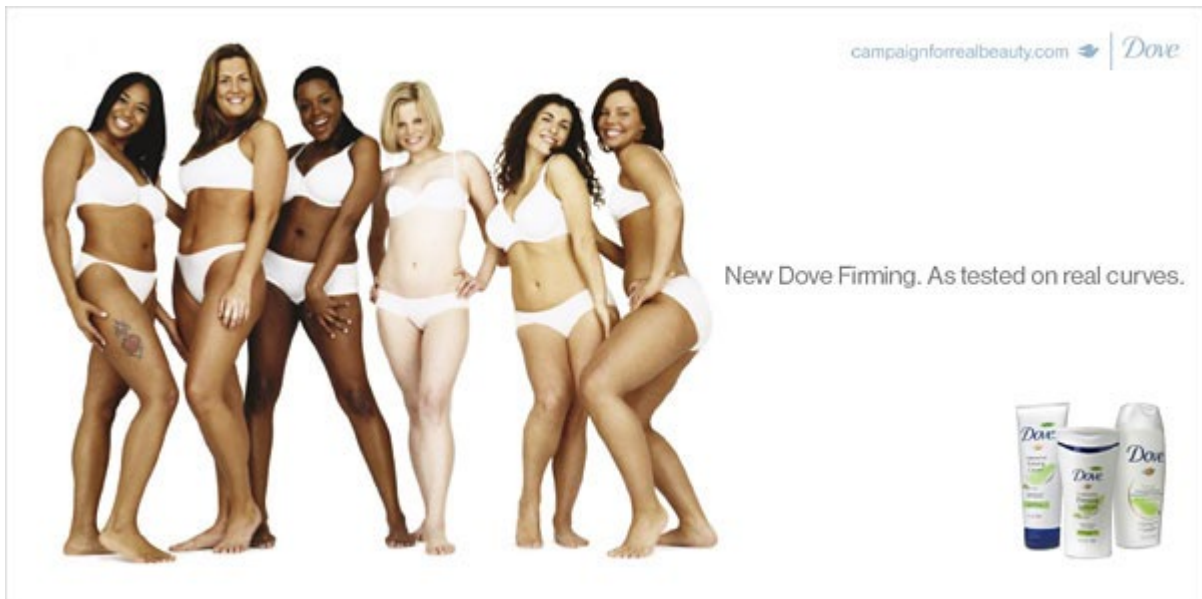
Exhibit 4: Dove's "Real Beauty" Ad Images

Exhibit 5: Axe Product Range**Exhibit 6: Axe Point-of-Purchase Display**

Exhibit 7: Collection of Axe Print Ads



Exhibit 8: Axe's "Mojo Master" Online Game**Exhibit 9: Axe's "The Order of the Serpentine" Interactive Web Site**